

Weekly Market View

Geopolitics, policy and earnings

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Remain overweight US tech and communications: Big tech to deliver strong earnings

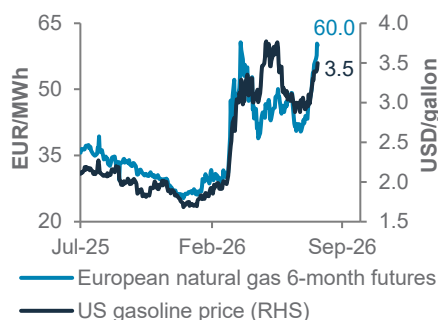
Bullish Japan and European financial sectors – high interest margins, solid dividends

Neutral to positive on CNH – Likely PBoC reserve ratio cut to have limited impact on CNH

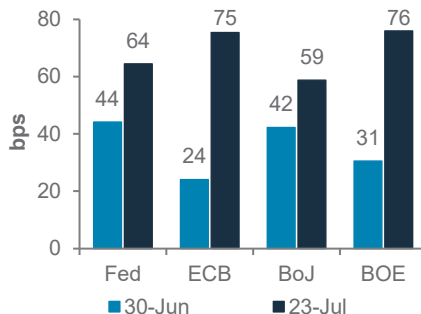
Charts of the week: Earnings likely to trump geopolitics

Oil prices and rate expectations are likely near their peak; strong earnings upgrades are likely to drive equities higher

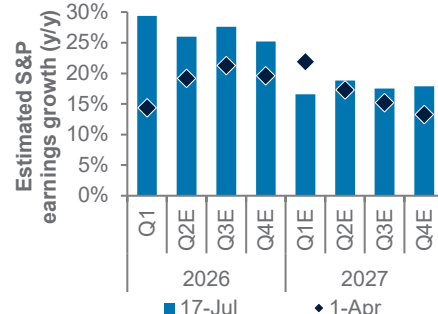
US gasoline and European natural gas 6-month forward prices



Money market expectations of key policy rates over next 12m; today vs. 30 June



Consensus earnings estimates for S&P500 index



Source: Bloomberg, LSEG I/B/E/S, Standard Chartered

Editorial

Geopolitics, policy and earnings

Strategy summary: The Houthis' blockade of the Red Sea following the resumption of US-Iran hostilities has driven a sharp rebound in energy prices and bond yields. We expect US electoral constraints and Iranian restraint to eventually limit escalation in the conflict. Against this backdrop, central banks are likely to hold rates this month as they assess the impact of any temporary spike in energy prices on the inflation outlook.

Besides the spike in bond yields, equity markets will have to contend with lofty earnings expectations as the reporting season picks up. We expect strong AI investment-driven earnings beats, especially in the US and Asia, to drive upgrades to profit estimates. This should support continued equity market outperformance in the coming months. In fixed income, inflation-protected bonds appear particularly attractive, especially in the US, where the inflation-adjusted yield has surged above 2.4%, close to the highest since 2008.

Mideast conflict limited by US electoral constraints, Iran restraint: The re-escalation of tensions, with Yemen's Houthis joining the conflict, has driven European gas prices back to March peaks, but US gasoline prices remain well below the latest peaks. Notably, Iran has avoided attacking Saudi Arabia and UAE in the latest escalation, signalling restraint. While there is a window for further near-term escalation, any rebound in US gasoline prices closer to May's peaks in the run-up to November's mid-term elections is likely to put pressure on President Trump to resume negotiations. Thus, we expect US crude oil (WTI) to trade largely in the USD 70-90/bbl range in the next few months, limiting the economic impact.

Central banks to hold rates this month. We expect major central banks to hold rates this month as they assess the inflationary impact of the latest Middle East escalation. This was apparent from this week's ECB decision to hold its deposit rate at 2.25%, while it kept the option open for another rate hike later this year. Meanwhile, the softer-than-expected US inflation report for June confirmed our view that inflation peaked in Q2.

We expect the Fed to stay on hold this year as long as gasoline prices remain subdued, given slowing wage growth and cooling shelter and services inflation. As such, the 2-5-year segment of the bond yield curve looks increasingly attractive, especially if rate expectations peak with oil prices in the next few weeks.

ECB, BoJ under rising pressure to hike. The ECB, being an inflation-targeting central bank, is under growing pressure to hike rates in the coming months to counter any energy-price driven inflation if European natural gas prices stay elevated. We raise the probability of another 25bps rate hike later this year, with the timing dependent on the status of the US-Iran conflict and the pass-through of energy prices onto inflation and wage growth. The BoE is likely to be constrained from hiking rates, though, due to weakening domestic growth outlook. Meanwhile, the BoJ remains behind the curve as a weaker currency pours fuel on domestic wage-driven inflation. There is rising chance the BoJ hikes twice this year, if only to support the JPY.

Equities under rates, earnings scanner. Equities slumped on Thursday weighed by a Big Tech earnings report, surging crude oil prices (WTI crossed USD 90/bbl and Brent rose above USD 100/bbl) and the US 10-year government bond yield rising above 4.7%. The 10-year yield has gained almost 35bps since 29 June. We believe a 25bps rise in bond yields, which serves as the discount rate for valuing equities, can impact global equities by around 3-4%, so investors should remain disciplined as rate expectations shift. However, projected earnings growth of 15-20% in 2026 and 2027 should provide a meaningful cushion against rate-driven valuation pressure.

US earnings key support for equity outperformance. Big Tech is likely to show strong results and clearer AI monetisation in Q2. The tech sector has driven over half of global equity EPS upgrades since end-February, while AI adoption is still early in a multi-year cycle. We remain overweight US technology and communication services, and favour regions with stronger earnings visibility, particularly the US and Asia ex-Japan.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

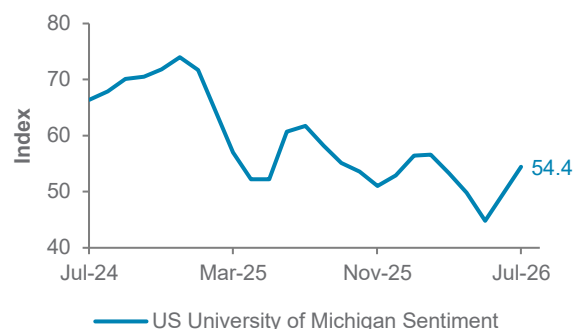
(+) factors: Robust consumer sentiment in the US and Euro area; China's new policy initiatives

(-) factors: Escalating geopolitical and trade tensions

	Positive for risk assets	Negative for risk assets
Macro data	- US University of Michigan consumer sentiment index beat estimates in July - Euro area and Germany ZEW Survey expectations beat estimates in July	- US leading index fell by 0.2% m/m in June, below estimates - Japan's core consumer price inflation fell unexpectedly in June to 1.7% y/y
	Our assessment: Positive – Robust consumer sentiment in the US and Euro area	
Policy developments	Fed's Jefferson said current policy is well positioned to balance employment and inflation goals	- Fed's Hammack hinted the potential for a rate hike to combat sticky inflation - ECB kept its rate unchanged as expected, while President Lagarde hinted a potential Sep hike
	Our assessment: Neutral – Divergent Fed views, potential ECB rate hike	
Other developments	China pledged to hit its full-year growth target of 4.5-5% and emphasised accelerating policy implementation	- Yemen's Houthis launched strikes on two Saudi tankers, escalating the conflict into the Red Sea - The US widened Iran air-strikes and signalled peace talks unlikely; Iran fired back on US bases - The US launched new tariffs of 10-12.5% on imports from 60 countries and fresh 50% tariffs on a range of Canadian goods - President Trump planned a 100% tariff on generic drugs from Aug 2028
	Our assessment: Negative – Escalating geopolitical and trade tensions	

US University of Michigan consumer sentiment index rose to its highest level since February

US University of Michigan consumer sentiment index



Source: Bloomberg, Standard Chartered

Euro area ZEW survey of economic sentiment beat estimates significantly, reflecting growing confidence in the near-term recovery

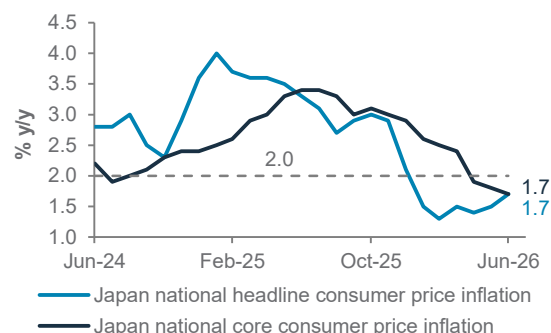
Euro area ZEW survey expectations



Source: Bloomberg, Standard Chartered

Japan's national core consumer price inflation fell in June to the lowest since Aug 2022, while headline inflation came in-line with expectations

Japan's headline and core (ex-fresh food and energy) consumer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

Q What do you expect from US Big Tech earnings next week?

Our view: We expect US Big Tech companies to deliver solid Q2 earnings while demonstrating further evidence of AI monetisation. We are Overweight the US technology and communication services sectors.

Rationale: The US technology sector continues to be a primary driver of S&P500 earnings, with the **highest projected earnings growth** over the next 12 months. It is expected to see earnings growth of 65.6% y/y in Q2 and 57% in 2026, driven by AI demand.

Besides strong earnings growth, we expect US Big Tech companies to demonstrate that elevated AI capex is translating into **stronger monetisation**. US Census Bureau data indicates that AI adoption has already reached 20-25% across US industries. This **rapid uptake** signals strong **enterprise acceptance** and gives us greater confidence that AI usage remains in the early stages of a **multi-year growth cycle**. The emergence of cost-effective and high-performing Chinese AI models has raised some concerns about **AI commoditisation**, which can reduce the returns on AI capex. However, we believe that as AI resources become more efficient to use, total consumption will rise (Jevons paradox). To gain exposure, we are Overweight the US technology and communication services sectors, with the latter being dominated by large internet platforms.

— Fook Hien Yap, Senior Investment Strategist

Q What is your Q2 earnings outlook for the Japan and Europe financial sectors?

Our view: We expect a constructive earnings season for Japan and Europe ex-UK banks and remain Overweight both sectors.

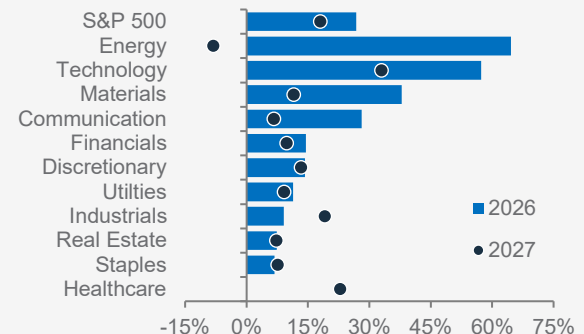
Rationale: The earnings backdrop for Japan banks is supported by the BoJ's two 25bps rate hikes in December 2025 and June 2026, which are feeding through via **lagged loan repricing** and **expanding domestic net interest margins**. Notably, the **regulatory easing** of Japan banks' exposure limits for individual corporate groups grants megabanks greater flexibility to underwrite large-scale M&A and AI data centre transactions. While the near-term earnings benefit is incremental, the medium-term implications are more meaningful, with greater flexibility to support **loan growth**.

Europe banks are also entering the Q2 earnings season with a constructive set of catalysts. Net interest income is benefiting from a higher-for-longer rate path, and fee income is supported by resilient investment banking activity and a stabilising wealth management segment. Meanwhile, **credit quality remains robust**, with the European Banking Authority's June 2026 Risk Assessment showing non-performing loan ratios sitting at historic lows. **Sustained capital distributions** via dividends and share buybacks continue to be a key catalyst and represent a compelling risk-adjusted return opportunity.

— Jason Wong, Senior Equity Analyst

The technology sector is expected to continue leading the US market in earnings growth over the next 12 months

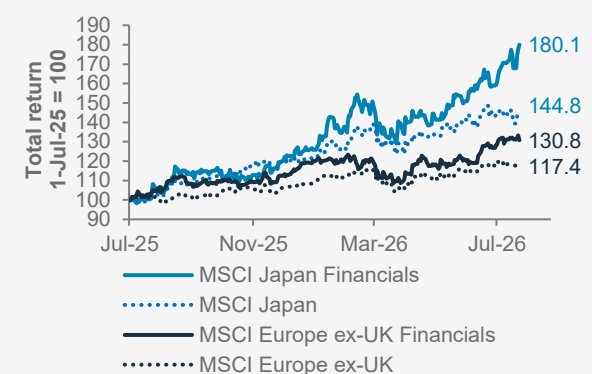
Projected 2026 and 2027 earnings growth by sector



Source: LSEG I/B/E/S, Standard Chartered

The Japan and Europe ex-UK financial sectors have been outpacing their broader indices, benefiting from a structural increase in domestic interest rates

Total returns of the MSCI Japan and Europe ex-UK financials sectors and the regional market indices



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q What might be the implications of next week's Fed, BoJ and BoE policy meetings for bond and FX markets?

Our view: We expect the Fed, BoJ and BoE to keep policy rates unchanged. Guidance will be key: i) a neutral Fed should limit further gains in US bond yields and USD, ii) BoJ is expected to keep the door open to further policy normalisation; and iii) the BoE is likely to retain a cautious inflation bias.

Rationale: We expect the Fed to hold rates at 3.5-3.75%. Softer June US consumer inflation supports a hold, although **sustained strength in WTI oil prices could reinforce upside inflation risks**. A neutral message will likely cap short-term gains in government bond yields and reduce support for the USD, while renewed emphasis on inflation risks would lift yields elevated. The USD Index (DXY) is likely to remain **rangebound between 100.3 and 102**.

The BoJ is likely to hold its policy rate at 1.00% next week, but the weak JPY and imported inflation should preserve the possibility of further normalisation. Reports suggest some policymakers see scope for **faster policy normalisation** if JPY weakness, higher fuel costs and quicker cost pass-through push inflation above projections. Combined with our expectation that the Fed will remain on hold, this should eventually allow **USD/JPY to ease**. Technically, we believe the USD/JPY correction is likely to be gradual rather than immediate. FX intervention and **higher pension fund allocations** to domestic assets may slow JPY depreciation, but a sustained reversal will require a narrower US-Japan interest rate differential. A sustained move below 160 will bring the **155-158 range** into focus.

We expect another hold by BoE on 30 July, following June's 7-2 vote to hold rates at 3.75%. Persistent energy-driven inflation could keep UK Gilt yields elevated and support GBP, although weak activity and fiscal uncertainty may limit gains. **GBP/USD is likely to stay rangebound between 1.3200 and 1.3500**.

— Iris Yuen, Investment Strategist

Q Will the PBoC implement monetary easing measures, given China's weak Q2 GDP? Will this affect the CNH outlook?

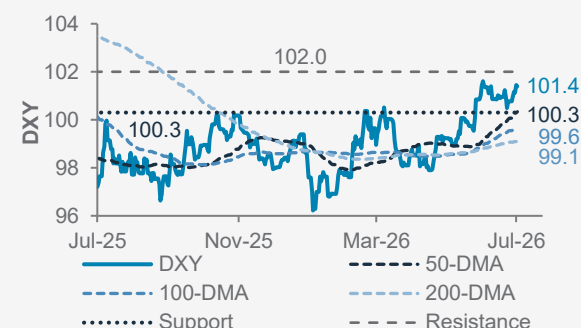
Our view: A reserve requirement ratio (RRR) cut remains possible, but any resulting CNH depreciation should be limited.

Rationale: China's economy grew 4.7% in H1, in line with the government's annual growth target, although Q2 GDP moderated to 4.3% y/y from 5.0% in Q1. Industrial production and exports remained resilient. **Overall macroeconomic conditions do not suggest a urgent need for broad-based monetary easing**. An **RRR cut could weigh on the CNH initially** by reinforcing concerns over wider policy divergence with the US. However, such a cut primarily releases banking system liquidity and **does not necessarily signal a shift towards aggressive monetary easing**. We therefore expect any CNH weakness to remain measured, supported by China's external balance and policymakers' preference for exchange-rate stability. USD/CNH has near term support at 6.75.

— Iris Yuen, Investment Strategist

The USD index (DXY) remains rangebound between 100.3 and 102

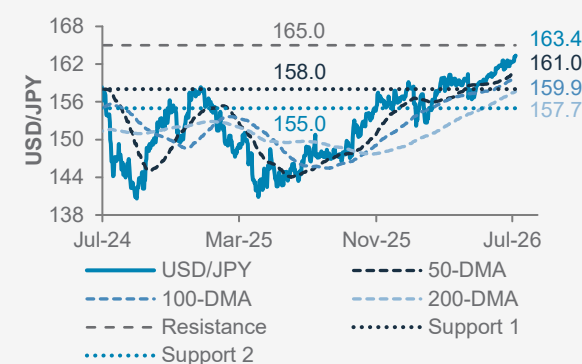
The DXY and technicals



Source: Bloomberg, Standard Chartered

USD/JPY intervention risk rises around 165

USD/JPY and technicals



Source: Bloomberg, Standard Chartered

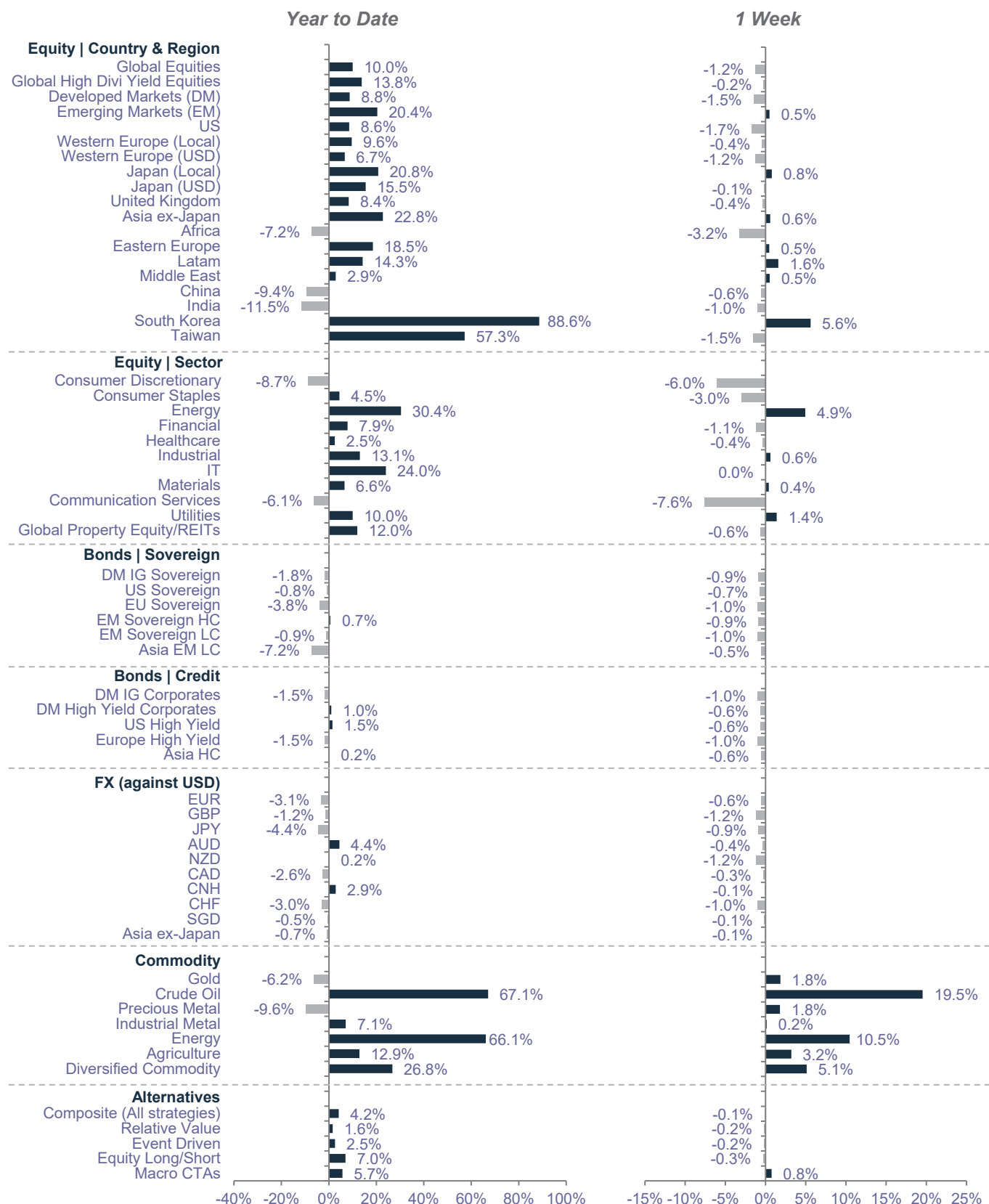
USD/CNH downtrend continues

USD/CNH and technicals



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 23 July 2026; 1-week period: 16 July 2026 to 23 July 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Healthcare ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	Europe ex-UK Industrials ▲
Other EM ◆	Japan Financials ▲
	China Communication ▲
Bonds ▼	China Technology ▲
Credit	Govt
Asia USD ◆	Govt EM Local ◆
Corp DM HY ◆	Govt DM IG ▼
Govt EM USD ▲	
Corp DM IG ◆	Alternatives ◆
	Gold ▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,562

Technical indicators for key markets as of 23 Jul close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,408	7,274	7,562	19.7	1.2
STOXX 50	6,210	6,117	6,367	15.0	3.2
FTSE 100	10,639	10,393	10,824	12.9	3.5
TOPIX	4,054	3,896	4,175	16.9	2.3
Shanghai Comp	3,877	3,687	4,121	13.0	3.1
Hang Seng	25,211	23,397	26,146	10.7	3.4
Nifty 50	23,870	23,593	24,339	18.3	1.8
MSCI Asia ex-Japan	1,110	1,046	1,186	10.7	2.3
MSCI EM	1,672	1,582	1,782	10.4	2.7
Crude oil (WTI)	92.2	75.0	101.4	na	na
Gold	4,049	3,928	4,187	na	na
UST 10Y Yield	4.69	4.46	4.82	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

Market Event		Period Expected	Prior
MON	CNH Industrial Profits y/y	Jun	– 21.1%
	EUR Germany IFO Business Climate	Jul	– 85.6
	USD Durable Goods Orders	Jun P	1.5% -4.5%
TUE	USD Conf. Board Consumer Confidence	Jul	92.0 91.2
WED			
THU	USD FOMC Rate Decision (Upper Bound)	29-Jul	3.8% 3.8%
	EUR Economic Confidence	Jul	– 95.0
	EUR Unemployment Rate	Jun	– 6.2%
	GBP Bank of England Bank Rate	30-Jul	– 3.8%
	USD Personal Income	Jun	0.3% 0.7%
	USD Real Personal Spending	Jun	0.2% 0.3%
	USD PCE Price Index y/y	Jun	3.6% 4.1%
	USD Core PCE Price Index y/y	Jun	3.3% 3.4%
	USD GDP Annualized q/q	2Q A	2.3% 2.1%
FRI/SAT	JPY BOJ Target Rate	31-Jul	– 1.0%
	CNH Manufacturing PMI	Jul	49.9 50.3
	CNH Non-manufacturing PMI	Jul	50.0 50.2
	EUR CPI y/y	Jul P	– 2.8%
	EUR CPI Core y/y	Jul P	– 2.4%

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 23 Jul close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	→	1.80
Global Equities	●	↑	1.58
Gold	●	→	1.40
Equity			
MSCI US	●	↑	1.55
MSCI Europe	●	↑	1.78
MSCI AC AXJ	●	↑	1.63
Fixed Income			
DM Corp Bond	●	↑	1.80
DM High Yield	●	↑	1.71
EM USD	●	↑	1.95
EM Local	●	↓	1.63
Asia USD	●	→	1.89
Currencies			
EUR/USD	●	↓	1.36

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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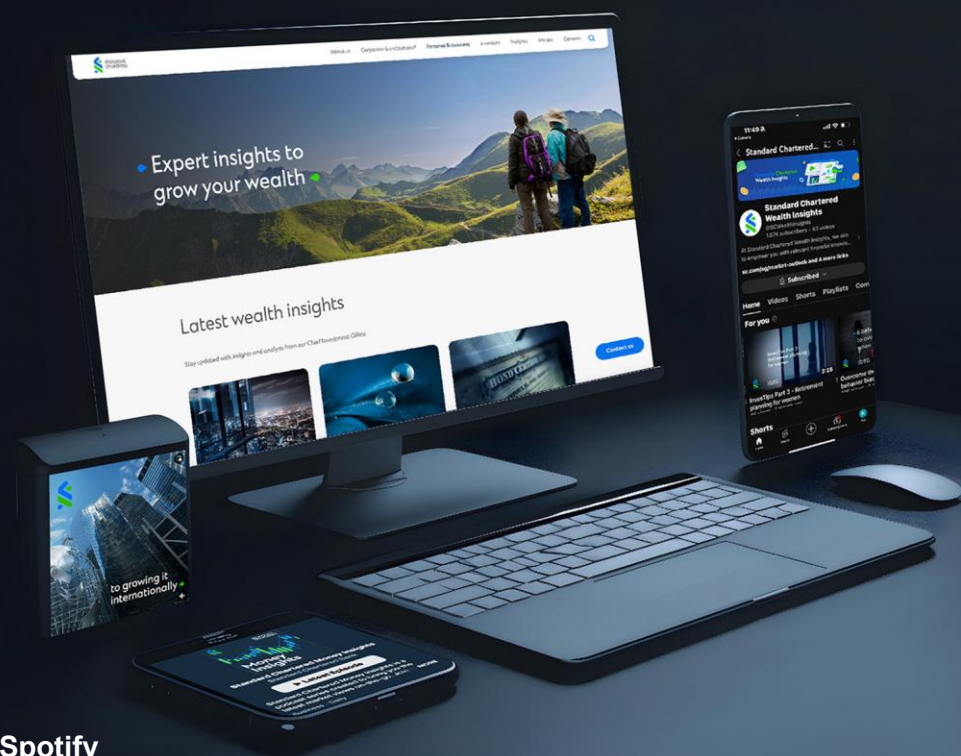
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Weekly Market View

Inflation cools, but focus shifts back to oil

→ Peak Fed hawkishness is likely behind us following the release of a soft June CPI inflation print. This reinforces our view that the Fed will keep rates on hold through the second half of 2026.

→ However, a new surge in oil prices poses some risks to this view. Oil prices are likely to rise to the top of our expected USD 70-90/bbl near-term range, but we expect any rise above this to be short-lived.

→ We would focus on locking in attractive yields, but retain our strong preference for short bond maturities to avoid excessive exposure to any new inflation concerns.

→ China and India equities should benefit within Asia from any equities broadening trade, alongside Taiwan equities. AI monetisation is expected to be a key focus for upcoming tech sector earnings.

What can we learn from Q2 US bank earnings?

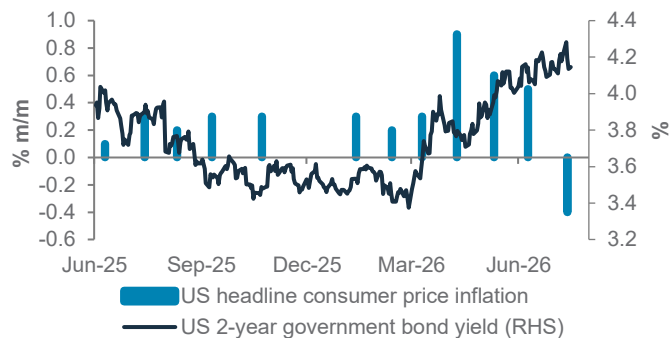
What is the impact of leadership changes in the UK?

Is the Swiss Franc set to weaken?

Charts of the week: Inflation softens

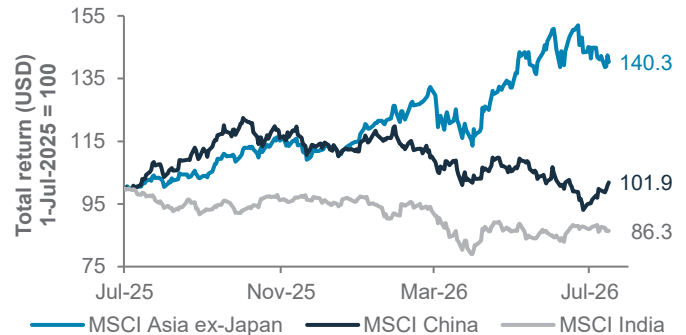
June US CPI data eases immediate inflation worries, but oil remains a risk. China, India equities have room to catch up.

CPI inflation m/m change vs. 2yr US govt. bond yield



Source: Bloomberg, Standard Chartered

MSCI equity indices: Asia ex-Japan vs. China, India



Editorial

Inflation cools, but focus shifts back to oil

Strategy summary: Peak Fed hawkishness is likely behind us following the release of a soft June CPI inflation print. This reinforces our view that the Fed will keep rates on hold through the second half of 2026. However, a new surge in oil prices poses some risks to this view. Oil prices are likely to rise to the top of our expected USD 70-90/bbl near-term range, but we believe sufficient incentives exist for all sides to avoid a larger escalation that pushes prices sustainably above this range.

We would focus on locking in attractive yields, but retain our strong preference for short bond maturities to avoid excessive exposure to any new inflation concerns. China and India equities should benefit within Asia from any equities broadening trade, alongside Taiwan equities. AI monetisation is expected to be a key focus for upcoming tech sector earnings.

US inflation data signals peak hawkishness likely behind us: US headline CPI inflation fell -0.4% m/m, the biggest monthly drop in years. This supported the view that the rise in inflation over Q2 indeed was likely a temporary surge led by oil prices alone rather than being a more broad-based risk. The data point reinforces our view that the Fed is likely to leave rates unchanged through H2 2026 and signals 'peak hawkishness' is now likely behind us. Fed Chair Warsh's inclusion of 'full employment' at his first semi-annual testimony to Congress supports this view. However, the relief was more visible in shorter-term US bond yields (2-year) relative to long-term bond yields (10-year), suggesting long term fiscal concerns remain.

Renewed Middle East escalation poses upside oil price risk in the near term: Following earlier attacks on ships transiting through the Strait of Hormuz, the US initiated new military strikes on Iran. This series of events is pushing oil prices towards the upper end of our expected USD 70-90/bbl range. While there is a non-negligible risk that Trump follows through on his threats to escalate further still, we believe the US continues to face an incentive to avoid a larger oil price shock given the risk to US growth and upcoming mid-term elections.

This means any temporary oil price spikes above USD 90/bbl are unlikely to be sustained for long. Having said that, we continue to see US TIPS (inflation-protected bonds) as an attractive hedge against a more adverse scenario.

Lock in elevated yield: Fiscal worries notwithstanding, our view that we are likely past peak Fed hawkishness means that the recent rise in bond yields offers an opportunity to lock in yields for income. We maintain a broad preference for credit over government bonds, with an Overweight on EM USD government bonds. However, we continue to favour short maturities to avoid excessive exposure to volatility triggered by any new inflation or fiscal worries.

China, India equities to benefit from broadening of rally: 2026 year-to-date gains in Asia ex-Japan equities have been driven by Korea and Taiwan equities (ie. semiconductor-heavy markets). Chinese and Indian equities have both lagged. However, these two markets should benefit from a rotation into broader regional exposure and a softening of the US Dollar, where long positioning is close to extremes. We remain Overweight China and India equities, with our preference for the Hang Seng tech index providing exposure to a broadening of gains within the Asia technology sector.

Watch upcoming tech sector earnings, UK appointments: While semi-conductor sector earnings growth visibility remains strong, we also expect solid result announcements from US hyperscalers. This is likely to be driven by robust AI adoption and digital advertising trends. However, the key market focus is likely to remain on the level of AI capex spending and any signals on the pace of AI monetisation.

In the UK, the key focus for markets following Burnham's likely appointment as Prime Minister will be the choice of Chancellor of the Exchequer and any related signals on the extent of fiscal policy continuity. These are likely to be key for UK bond yields and the GBP, which are expected to stay rangebound till greater clarity emerges.

— Manpreet Gill

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as positive for risk assets in the near-term

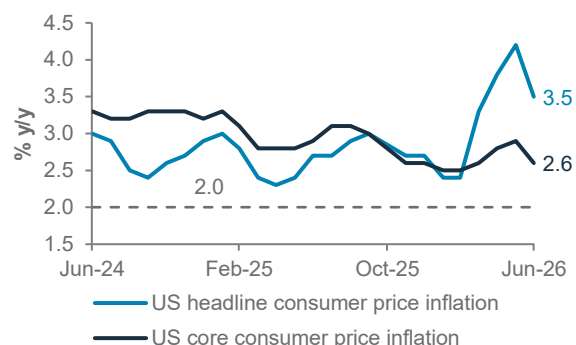
(+) factors: Easing US price pressures; robust US economic activity

(-) factors: Escalating geopolitical tensions revive inflation risks

	Positive for risk assets	Negative for risk assets
Macro data	- US headline and core consumer and producer price inflation eased more than expected in June - US NFIB small business optimism index rose more than expected to 97.4 - China export grew 27.0% y/y, above estimates - China retail sales rose unexpectedly by 1% y/y	China Q2 GDP rose by 4.3% y/y, below estimates
	Our assessment: Positive – Easing inflationary pressures in the US, strong China exports growth	
Policy developments	- July Fed Beige Book showed economic expansion, stable employment, and signs of moderating inflation - Fed's Williams said current rates are well positioned to bring inflation back to the 2% target - Bank of Canada kept policy rate at 2.25% as expected, and said the economy is growing	
	Our assessment: Positive – Robust US economic activity, potential Fed rate pause	
Other developments	President Trump abandoned a 20% charge on cargo crossing the Strait of Hormuz one day after announcing it	- The US carried out a fresh wave of strikes on Iran's coastal defense systems and missile sites - Iran threatened to close all other vital export corridors after the US reimposed a naval blockade
	Our assessment: Negative – Escalating geopolitical tensions	

US headline and core consumer price inflation eased more than expected to 3.5% y/y and 2.6%, respectively in June

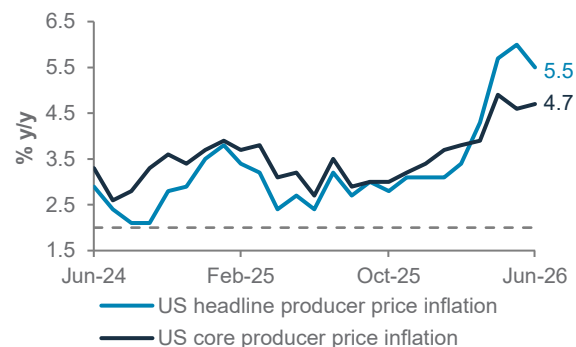
US headline and core consumer price inflation



Source: Bloomberg, Standard Chartered

US headline producer inflation eased in June to 5.5% y/y, well below market forecasts of 6.2% y/y and decelerating from 6% y/y in May

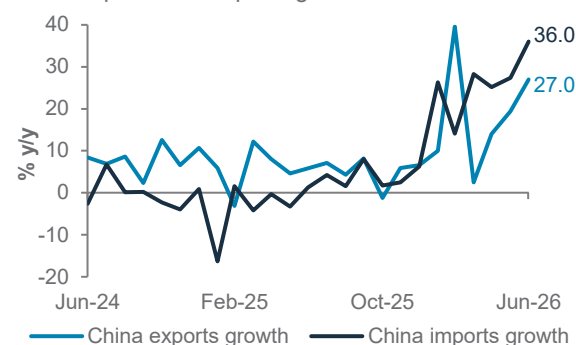
US headline and core producer price inflation



Source: Bloomberg, Standard Chartered

China's exports grew 27% y/y in June driven by the global artificial intelligence (AI) boom and surging electric vehicle (EV) sales

China exports and imports growth



Source: Bloomberg, Standard Chartered

Top client questions

Q What can we learn from major US banks' Q2 earnings?

Our view: Major US banks delivered significant earnings beats in Q2 vs. consensus estimates, making them attractive to add on pullbacks. We maintain a Core allocation to US financials.

Rationale: Major US banks beat consensus expectations across both earnings and revenues, primarily driven by a **surge in equities trading** and **record investment banking fees**. Market volatility, AI-related capital markets activity and mega listings, such as the SpaceX initial public offering, supported this growth. Positive loan growth supported net interest income. Meanwhile, resilient US consumers supported the **stable credit quality**.

Looking ahead, growth should be supported by a **healthy pipeline for equity underwriting** and **M&A advisory fees**. An elevated equity market also bolsters fee income for the asset management business. **Guidance was broadly raised**, although management flagged tougher H2 comparisons and sounded a **cautious tone** around macro uncertainties, inflation risks and big fiscal deficits. Valuations of major US banks are elevated but justified, in our view.

— Michelle Kam, CFA, Investment Strategist

Q What do you expect from upcoming tech sector earnings, including those from US hyperscalers?

Our view: Earnings growth in the semiconductor sector remains strong with good visibility. We favour diversifying exposure into Taiwan equities. We expect US hyperscalers to deliver strong growth and prefer gaining exposure through the US communication services sector.

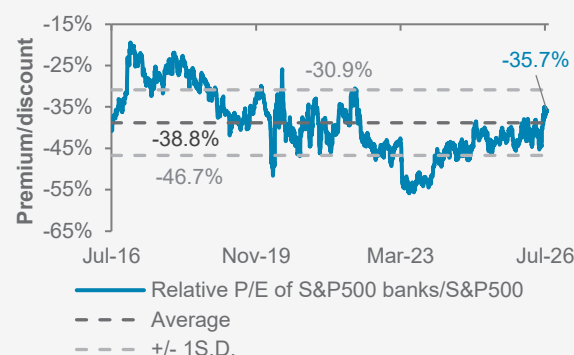
Rationale: Earnings reports from the semiconductor industry point to unprecedented long-term visibility. **Sustained AI-driven demand** across both advanced logic and memory chips is giving chipmakers the confidence to accelerate capacity expansion plans. **Taiwan equities'** significant exposure to the semiconductor industry makes them a preferred route for gaining exposure to this attractive growth.

For US hyperscalers, we expect **solid results**, driven by cloud growth with robust AI adoption, and healthy digital advertising trends. The market is likely to focus on whether hyperscalers' significant AI investments are beginning to generate meaningful returns. Hence, management commentary on **AI monetisation** – specifically regarding new revenue streams through enterprise subscriptions, AI model usage growth and consumption-based pricing trends – will be critical. We also expect hyperscalers to maintain **elevated AI capital expenditure (capex) spending**. We see the US communication services sector – which is dominated by large internet platforms with reasonable valuations – as an attractive opportunistic trade idea.

— Fook Hien Yap, Senior Investment Strategist

US banks are trading at a reasonable valuation discount to the broader US market, in line with the historical average, while the growth outlook remains strong

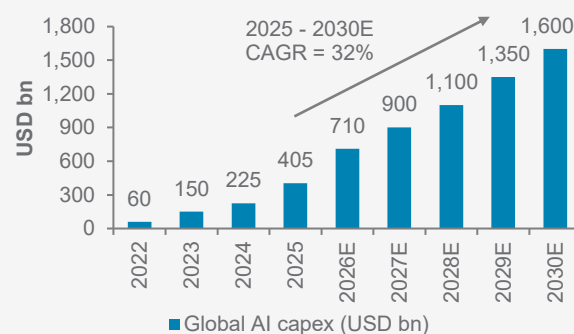
12-month forward P/E valuation of S&P500 banks relative to the S&P500 Index



Source: Bloomberg, Standard Chartered

Rising AI capex is supported by monetisation trends

Global AI capex over the years



Source: Company reports, Standard Chartered

Top client questions (cont'd)

Q Does the soft June US consumer inflation print validate the view that peak Fed hawkishness is behind us? What is your view on US bond yields following the soft inflation print?

Our view: We believe peak inflation is behind us in the near term and expect the Fed to hold rates steady through year-end 2026. Short-term yields declined more than long-term yields after the soft June US consumer inflation print, validating our view that the term premium will remain elevated. We maintain our view that the US 2-year Treasury yield will trade in a range of 4.00-4.25%. While the 10-year yield has traded above our near-term target range of 4.25-4.50%, we expect it to technically range between trend support at 4.47% and resistance at 4.63%.

Rationale: June US headline and core inflation slowed to 3.5% y/y and 2.6% y/y, respectively, coming in below market expectations. The data supports our view that peak inflation and Fed hawkishness are behind us in the near term and reinforces our view that the Fed will remain on hold for the rest of 2026. Despite the renewed Middle East tensions this week, we view the escalation as transient and do not expect energy prices to retest their April highs.

Bond yields fell after the latest US inflation data, with **shorter-dated US Treasury yields falling more than those at the long end**. The 10-year yield pulled back from its 13 July high of 4.626% to around 4.59%, while the 2-year yield fell from its one-year high of 4.288% to around 4.19%. **Markets now expect a less hawkish Fed**. However, fiscal worries remain and will likely keep the term premium elevated.

— Ray Heung, Senior Investment Strategist

Q What is your outlook for USD/CHF following the pair's attempt to recover towards 0.8150?

Our view: We expect USD/CHF to remain rangebound with a bearish bias in the coming weeks, with the USD as the key driver.

Rationale: The latest US consumer and producer inflation prints were softer than expected, which has trimmed Fed rate-hike expectations and weighed on the USD. Swiss inflation edged down to 0.5% y/y in June from 0.6% y/y. The slowdown reflected a **slight deceleration in services prices** and **some early energy price easing**.

We see an **opportunity for price dynamics to gradually reaccelerate** in the coming quarters as the effect of the Swiss franc's (CHF's) previous appreciation fades. This should allow the Swiss National Bank (SNB) to shift its focus towards **policy normalisation** over time. The central bank's increased willingness to **intervene against excessive CHF strength** remains a latent constraint on USD/CHF downside, with SNB President Schlegel having recently reaffirmed that stance. The pair rise has been rejected repeatedly at 0.8150 and is likely to remain **rangebound with a bearish bias**, with support at 0.7920.

— Iris Yuen, Investment Strategist

Short-term yields declined more than long-term yields post the US June consumer inflation report. We expect rangebound yields in the near term, with the term premium remaining elevated

US 2- and 10-year government bond yields



Source: Bloomberg, Standard Chartered

USD/CHF rise rejected repeatedly at 0.8150

USD/CHF and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Andy Burnham is widely expected to be confirmed as the leader of the UK Labour Party on 17 July. Will this spark heightened volatility in the GBP and UK bond (Gilt) yields?

Our view: We expect Gilt yields and the GBP to remain rangebound in the near term until there is greater clarity on Burnham's policy agenda.

Rationale: Andy Burnham is expected to become Prime Minister (PM) of the UK on 20 July, having secured the backing of a majority of Labour Members of Parliament. The **Gilt market is anxious** about his appointment, as Burnham's fiscal vision is seen as more **left-leaning** than that of outgoing PM Starmer's. Using the 10-year Gilt as an example, yields have risen by about **30bps** since he emerged as a strong contender in late June, reflecting these concerns.

However, Burnham has publicly ruled out changing Chancellor of the Exchequer Rachel Reeves's self-imposed borrowing limits, while signalling that he is **open to reducing the welfare bill** if he becomes PM, suggesting some degree of **fiscal discipline**. That said, the market will likely remain concerned about how Burnham may seek flexibility within the fiscal rules. He was reportedly considering bringing forward **a bolstered budget later in 2026**, potentially combining it with the Autumn Budget, including an additional GBP 40bn to fund infrastructure and housing investment, alongside the removal of defence spending from existing fiscal rules. Perhaps most worrying for the market were **his comments that the UK had to move beyond being "in hock" to bond markets**, which contributed to the initial yield spike when he entered the PM race.

Having said that, we think Gilt markets have already embedded a meaningful near-term political risk premium. We expect them to remain **rangebound for now**, as investors await the Autumn Budget and Parliament enters its summer recess until September. **Whether Reeves retains her position in the cabinet** will also be closely monitored as a signal of continuity in fiscal policy.

The larger GBP risk will come after Burnham's confirmation, particularly through his **choice of chancellor** and the **credibility of his spending plans**. Policies that promote investment and growth while respecting fiscal constraints would be broadly neutral to positive for the GBP. In contrast, unfunded spending commitments or a perceived weakening of fiscal discipline are likely to revive concerns over **UK debt sustainability** and weigh on the currency. Our base case is, therefore, **a brief increase in GBP volatility**, rather than a sustained directional move. GBP/USD is likely to remain more sensitive to the USD, US rate expectations, and upcoming UK fiscal announcements than to 17 July's confirmation itself.

— Ray Heung, Senior Investment Strategist
— Iris Yuen, Investment Strategist

Gilt yields have already risen ahead of Andy Burnham's confirmation as the next UK PM

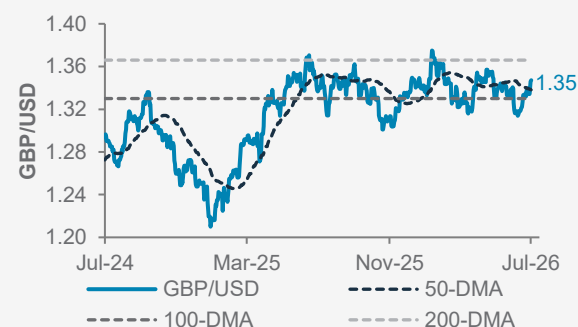
UK 10-year government bond yield



Source: Bloomberg, Standard Chartered

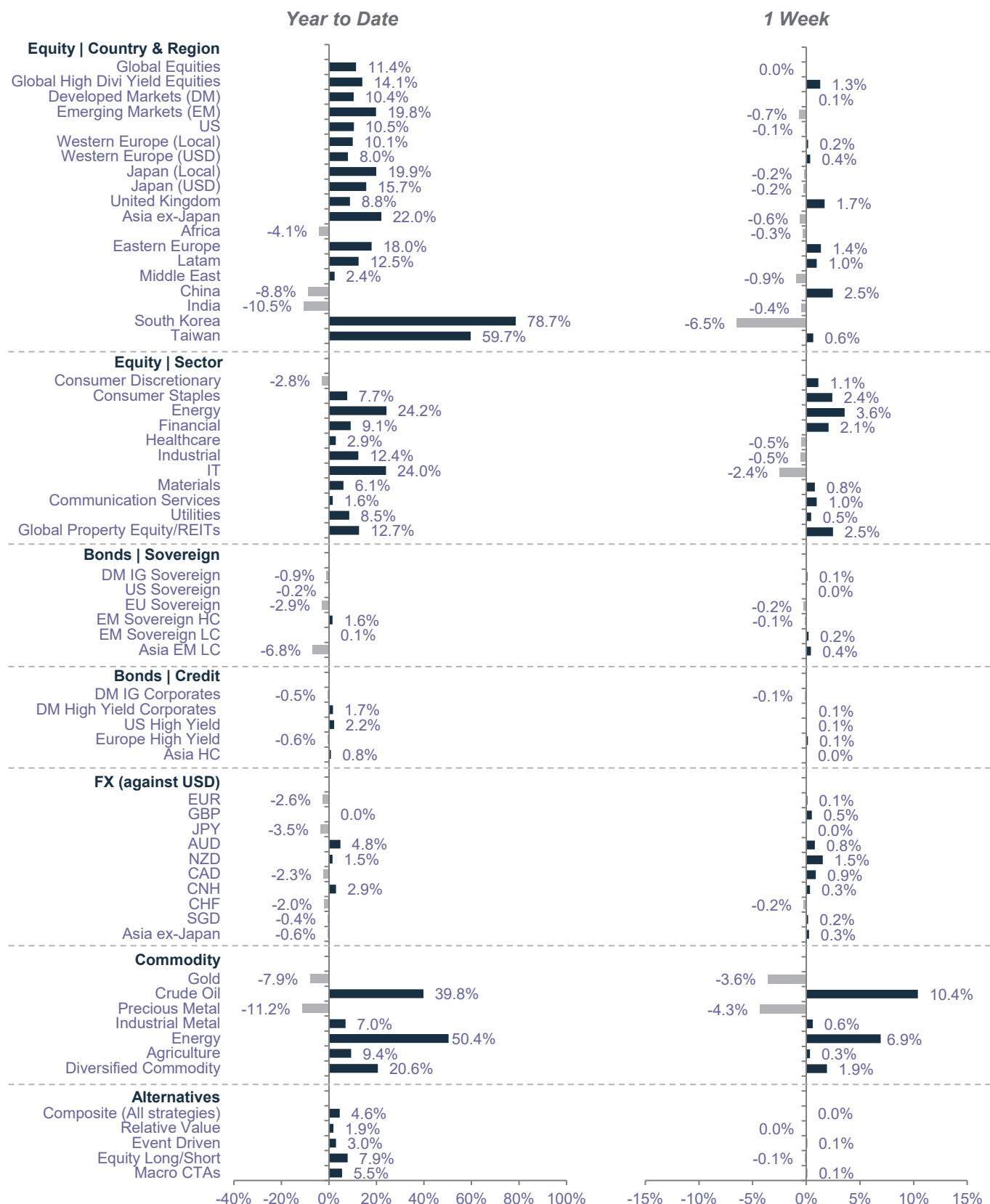
GBP/USD in the range of 1.3300-1.3660

GBP/USD and technicals



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 16 July 2026; 1-week period: 9 July 2026 to 16 July 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Healthcare ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	Europe ex-UK Industrials ▲
Other EM ◆	Japan Financials ▲
	China Communication ▲
Bonds ▼	China Technology ▲
Credit	Govt
Asia USD ◆	Govt EM Local ◆
Corp DM HY ◆	Govt DM IG ▼
Govt EM USD ▲	
Corp DM IG ◆	Alternatives ◆
	Gold ▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,645

Technical indicators for key markets as of 16 Jul close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,534	7,358	7,645	20.1	1.2
STOXX 50	6,284	6,166	6,416	15.2	3.1
FTSE 100	10,572	10,354	10,769	12.8	3.5
TOPIX	4,029	3,927	4,134	16.9	2.3
Shanghai Comp	3,882	3,775	4,083	13.0	3.1
Hang Seng	25,009	23,277	25,981	10.6	3.5
Nifty 50	24,073	23,728	24,474	18.4	1.8
MSCI Asia ex-Japan	1,104	1,044	1,183	11.1	2.2
MSCI EM	1,664	1,582	1,777	10.7	2.6
Crude oil (WTI)	79.0	70.1	84.7	na	na
Gold	3,977	3,819	4,258	na	na
UST 10Y Yield	4.55	4.40	4.67	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	USD	Leading Index	Jun	–	0.1%
	EUR	Germany ZEW Survey Expectations	Jul	–	10.5
TUE	EUR	Germany ZEW Survey Current Situation	Jul	–	-81.0
	EUR	ZEW Survey Expectations	Jul	–	9.5
WED	GBP	CPI y/y	Jun	–	2.8%
	GBP	CPI Core y/y	Jun	–	2.6%
THU	EUR	ECB Deposit Facility Rate	23-Jul	–	2.3%
	USD	Chicago Fed Nat Activity Index	Jun	–	-0.1
	EUR	Consumer Confidence	Jul P	–	-17.7
FRI/SAT	EUR	GfK Consumer Confidence	Aug	–	-29.2
	EUR	S&P Global Eurozone Manufacturing PMI	Jul P	–	51.4
	EUR	S&P Global Eurozone Services PMI	Jul P	–	49.4
	USD	S&P Global US Manufacturing PMI	Jul P	–	53.9
	USD	S&P Global US Services PMI	Jul P	–	51.2
	USD	New Home Sales	Jun	600k	580k

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 16 Jul close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.10
Global Equities	●	↑	1.49
Gold	●	→	1.34
Equity			
MSCI US	●	→	1.42
MSCI Europe	●	↑	1.77
MSCI AC AXJ	●	↑	1.63
Fixed Income			
DM Corp Bond	●	↓	2.05
DM High Yield	●	↓	1.54
EM USD	●	→	1.82
EM Local	●	→	1.71
Asia USD	●	↓	2.16
Currencies			
EUR/USD	●	↓	1.34

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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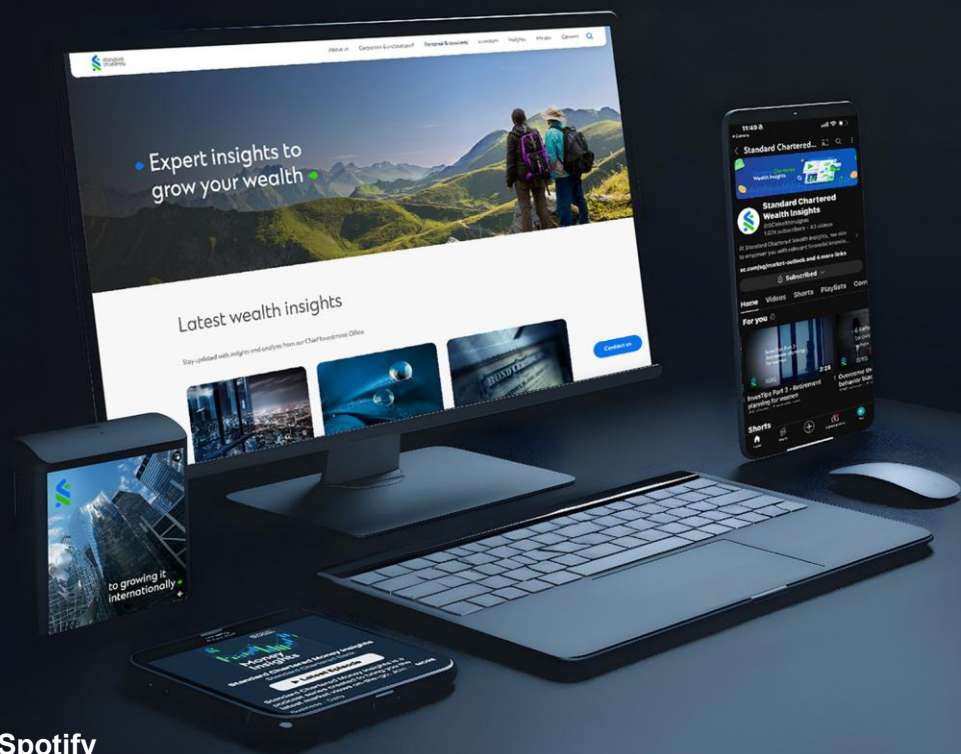
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Weekly Market View

Eye on earnings as Iran tensions return

→ The upcoming US Q2 earnings season is likely to reinforce two factors that have driven global equities to record highs this year, despite a once-in-a-generation oil shock.

→ First, the upswing in tech sector earnings, driven by soaring demand from the buildout of the AI-related ecosystem. Second, the broadening of earnings growth beyond the tech sector. These two drivers are likely to continue to help overcome any intermittent escalation in Middle East tensions.

→ We expect the global tech sector to beat earnings expectations, allaying concerns about capital investment and AI monetisation. This creates an opportunity for those under-invested in the sector to add exposure ahead of the earnings season.

→ Meanwhile, broadening of earnings should benefit our preferred equity markets in Asia ex-Japan, particularly in China. In fixed income, we see an opportunity to add to US inflation-protected bonds, given attractive real yields.

Opportunity in memory segment of tech sector: long-term agreements provide strong earnings support

US investment grade bonds remain core holding: hyperscaler issuance manageable

NZD/USD upside: Hawkish New Zealand central bank

Charts of the week: Strong earnings, attractive real yields

We expect US Q2 earnings to beat expectations, driving equities higher; US inflation protected bonds offer attractive yield

S&P500 index quarterly earnings and consensus estimates



Source: Bloomberg, LSEG I/B/E/S, Standard Chartered

US 10-year breakeven inflation and 10-year real yield



Editorial

Eye on earnings as Iran tensions return

Strategy summary: The upcoming US Q2 earnings season is likely to reinforce two factors that have driven global equities to record highs this year, despite a once-in-a-generation oil shock. First, the strong upswing in tech sector earnings, driven by soaring demand from the buildout of the AI-related eco system. Second, the broadening of earnings growth beyond the tech sector. These two drivers are likely to continue to help overcome any intermittent escalation in Middle East tensions.

We expect the global tech sector to beat earnings expectations, allaying concerns about capital investment and AI monetisation. This creates an opportunity for those under-invested in the sector to add exposure ahead of the earnings season. Meanwhile, broadening of earnings should benefit our preferred equity markets in Asia ex-Japan, particularly in China. In fixed income, we see an opportunity to add to US inflation-protected bonds, given attractive real yields.

Controlled escalation in the Middle East: We see the flare-up in Middle East tensions as a controlled escalation aimed at domestic audiences. While Iran seeks to keep oil prices elevated to maintain pressure on the US, President Trump is likely to be constrained by the need to keep oil prices subdued before November's mid-term elections. We have seen a spike in oil supply in recent weeks, but one thing to watch will be the willingness of tankers to re-enter the strait.

We see US oil trading in the USD 70–90/bbl range in the near term. The main risk is a re-escalation after the US mid-term elections, although we believe the likelihood of a divided Congress after the elections (with Democrats likely controlling the House) is likely to restrain foreign military actions.

Divided Fed confirms rates on hold. Minutes from the Fed's June meeting, the first under Chair Warsh, showed members remained split on the rates path. While hawkish members focussed on elevated and sticky inflation, the sharp drop in oil prices since April's peak should help US inflation gradually ease towards the Fed's 2% target over the coming quarters.

Next week's US inflation report for June should show inflation peaked in Q2. This should enable Warsh to convince policymakers to hold rates for the rest of the year, at least until his five taskforces looking at various aspects of Fed decision making and communications submit their reports. We see value in US inflation-protected bonds. Inflation expectations have fallen sharply since May, close to the bottom of their four-year range and real yields are near their highest since 2008.

Eye on earnings: Although geopolitical risks warrant monitoring, the upcoming earnings season is likely to be the key market driver in the next few weeks. Sentiment should recover as US corporate earnings remain strong, with S&P 500 profits estimated to have risen around 24% in Q2 and are expected to rise more than 20% y/y through the rest of 2026, before easing to a healthy mid-teens pace in 2027. The tech sector remains the main growth engine, but earnings resilience is broadening: excluding technology, S&P 500 earnings are still expected to grow in double-digits. With earnings visibility strongest in our two preferred markets, the US and Asia ex-Japan, investors can use volatility to add quality exposure.

Opportunities in tech: Investors who are under-exposed to the global tech sector have an opportunity to use the recent correction to add some exposure ahead of the earnings season. As guidance, the global tech sector now represents more than 40% of global equities and indirectly around 21% of multi-asset strategies such as our balanced foundation portfolio.

Specifically, we are taking the following actions: a) Increase semiconductor exposure in Global Tech to 35-40% from 30-35%, internet around 30%, hardware and software 10-15% each and services and others around 5%; b) Within semiconductors, we would increase our allocation in the beaten-down memory segment, where we see a short-term bottom emerging due to long-term agreements providing strong earnings support. Valuations have never been a concern for us, but we now see news flow momentum turning positive again.

— Sundeep Gantori and Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

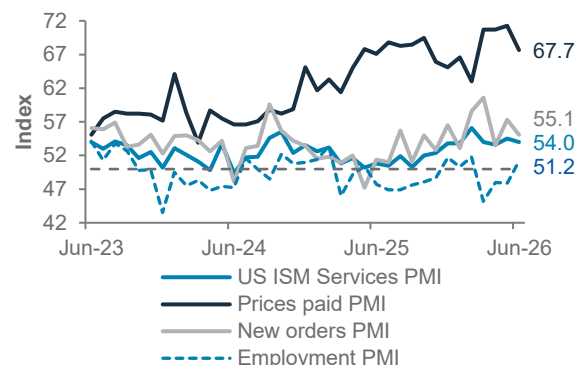
(+) factors: Easing inflationary pressures in China

(-) factors: Escalating geopolitical tensions revive inflation risks

	Positive for risk assets	Negative for risk assets
Macro data	- Euro area Sentix Investor confidence index came in above estimates in July - China headline and core consumer price index rose by 1% y/y, missing estimates	- US ISM services PMI fell to 54.0 in June, as expected, with falling new orders - US existing home sales unexpectedly fell 2.4% m/m in June - Euro area producer price inflation rose more than expected to 5.9% y/y in May - Japan's producer inflation rose to 7.1% y/y in June, exceeding estimates
	Our assessment: Neutral – Easing inflationary pressures in China vs. slower US services activity	
Policy developments	- June Fed meeting minutes showed members divided on rates outlook - Fed's William said rates well positioned and indicated there is no urgent need for any changes	- June Fed meeting minutes highlighted risks from elevated inflation - RBNZ raised the official cash rate by 25bps to 2.5%, hinting further rate hikes will depend on data
	Our assessment: Neutral – Fed members divided on rates outlook, despite elevated inflation	
Other developments	US officials said technical talks between US and Iran negotiators continued, despite the recent escalation in airstrikes	- President Trump said Iran ceasefire is 'over' and launched strikes for two consecutive days - Trump ordered cutting off all trade with Spain - Trump vowed to double down on taking control of Greenland
	Our assessment: Negative – Escalating geopolitical tensions	

US ISM services PMI eased in June as the prices paid and new orders components declined

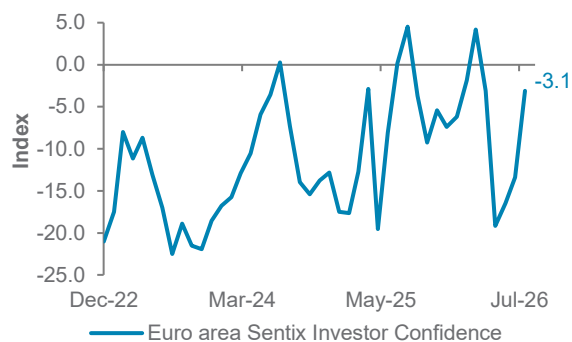
US ISM services PMI and its key sub-indices



Source: Bloomberg, Standard Chartered

Euro area Sentix investor confidence rose for the third consecutive month, beating market estimates

Euro area Sentix investor confidence index



Source: Bloomberg, Standard Chartered

China's June consumer price inflation rose by 1% y/y, below estimates, while producer price inflation came in line with expectations

China consumer and producer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

Q What do markets expect from the upcoming US Q2 2026 earnings season? Do you see any tactical opportunities?

Our view: We favour maintaining a balanced portfolio amid potential market volatility while capturing tactical technology sector upside.

Rationale: The US Q2 earnings season commences next week, spearheaded by reports from major financial institutions. According to LSEG I/B/E/S data as of 2 July, **Q2 S&P500 earning-per-share (EPS) growth is projected at a robust 24.4%**. This represents a sharp upward revision from the start of April (19.2%). Earnings growth is expected to be driven by the **energy sector** due to geopolitical risks, **technology** amid continued AI-related capex growth and **materials** as supply disruptions support pricing in select chemical segments.

Against a backdrop of significantly upwardly revised estimates, the upcoming Q2 earnings season is poised to be a **critical test** of whether robust growth drivers can outweigh near-term volatility risks. We continue to favour **US communication services** and see tactical upside in **global tech** as risk-reward improves. However, we are also increasingly focused on broadening portfolio exposure and adding more defensive elements. In this environment, we maintain our preference for **high-dividend equities**, which can enhance diversification and reduce concentration risk.

— Michelle Kam, CFA, Investment Strategist

Q What are the implications of the recent correction in the Asian technology sector, particularly in the South Korean memory segment?

Our view: We see a short-term bottom emerging for the South Korean memory segment as long-term agreements are providing strong earnings support.

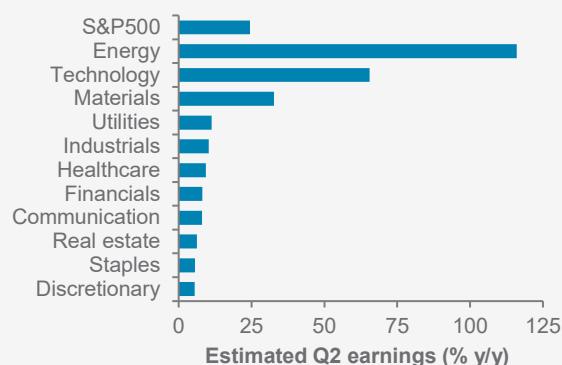
Rationale: The recent correction reflects a broader **unwinding of crowded AI momentum positions**, especially with reduced crowding in memory names, which drove the South Korean market up over 100% gain in H1 2026. **Near-term news flow** is expected to gather pace as more tech companies report in the coming weeks; positive data around rising memory spend as a percentage of data centre capex could restore focus on the sector. However, investors should monitor **supply chain displacement risks**, particularly the potential pivot to China-based memory suppliers.

We are turning **constructive on memory** after the recent correction and believe a **3-4% Core allocation** within a global equity portfolio is prudent. We also see **attractive risk-reward in the large-cap technology sector**; investors Underweight or on the sidelines may consider using the recent correction to add exposure.

— Jason Wong, Senior Equity Analyst

Broad-based S&P500 EPS growth forecasts remain resilient

Projected Q2 2026 earnings growth by sector



Source: LSEG I/B/E/S, Standard Chartered

We are turning constructive on the memory segment after the recent correction, which brought the KOSPI Index down over 20% from its peak

South Korea's KOSPI Index



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Do you think the record bond issuance by tech sector hyperscalers poses a broader credit market risk?

Our view: We view the record bond issuance by tech hyperscalers as a sector-specific technical headwind rather than a threat to the broader credit market.

Rationale: The scale of the bond issuance is significant. Five Big Tech giants have issued **USD 159bn of bonds** in just five months, reflecting the funding needs of the AI capex cycle. The surge in bond supply has contributed to the **underperformance of technology sector bonds** relative to the broader USD investment-grade (IG) index, with spreads now the widest in a decade. However, we view this as a **technical repricing** rather than a deterioration in credit fundamentals. Most of these issuers maintain strong credit profiles, with substantial liquidity, robust cash reserves and resilient earnings.

For the broader credit market, the impact should remain manageable, given the depth of the US IG market. We remain **Neutral on Developed Market IG corporate credit**, preferring to hold it as a Core allocation within our portfolio. Within tech sector corporate bonds, we prefer to stay selective, favouring stronger balance sheets and shorter maturities. For investors seeking AI-related upside, **we favour US tech equities**, where participation in long-term earnings growth is more direct (see above).

— **Anthony Naab, CFA**, Investment Strategist

Q What are the implications of the latest Reserve Bank of New Zealand (RBNZ) policy meeting for the New Zealand dollar (NZD)?

Our view: The RBNZ's hawkish tone should provide near-term support for NZD/USD to test 0.5820 resistance. However, further gains depend on incoming US inflation data and Fed outlook.

Rationale: The RBNZ delivered the widely expected **25bps rate hike to 2.5%**, but the accompanying statement was interpreted as **more hawkish than markets had anticipated**, prompting traders to price in a greater probability of further tightening in 2026.

Meanwhile, New Zealand's Performance of Manufacturing Index rose to 59.7 in June, its highest level since July 2021. Further NZD gains will likely depend on incoming **New Zealand inflation and labour market data** validating additional rate hikes. External factors, particularly the **Fed's policy outlook** remain key to whether the NZD can extend gains further beyond the first resistance of 0.5820 (the 200-day moving average).

— **Iris Yuen**, Investment Strategist

Heavy bond issuance has widened technology sector yield spreads, but only relative to the broader US IG market

Technology sector IG spreads relative to the broader US IG market



Source: Bloomberg, Standard Chartered

NZD/USD exposed to upside risk on hawkish RBNZ

NZD/USD and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q What is your outlook for the Canadian dollar (CAD) after the Bank of Canada's (BoC's) 15 July policy meeting?

Our view: We expect the BoC to hold its policy rate at 2.25%. Canada's improved macro data supports a less dovish policy stance. We expect USD/CAD to test support at 1.4080.

Rationale: Canada's real GDP rose 0.5% m/m in April, reversing the 0.1% m/m decline in March, with 14 of 20 sectors expanding. The advance estimate indicates a further 0.1% GDP gain in May. Payroll employment also increased by 22,000 in April, while March payrolls were revised upward to a modest gain of 5,700. Together, the data reduces the urgency for near-term BoC easing.

Inflation remains the counterbalance. **Headline Consumer Price Index (CPI) rose 3.2% y/y** in May from 2.8% in April, mainly due to gasoline prices, which increased 33.2% y/y. Excluding gasoline, CPI rose 2.2%. We expect the BoC to look through this energy-driven rise unless it broadens into persistent underlying inflation. **A policy hold with a less dovish tone should be modestly CAD-supportive.** The July Monetary Policy Report will be important in assessing whether the April growth rebound can be sustained.

— Iris Yuen, Investment Strategist

Q How should investors position between gold and silver after silver's recent correction?

Our view: Gold remains our preferred strategic portfolio anchor and hedge against geopolitical uncertainty. Silver, by contrast, is a higher-beta tactical opportunity that can amplify returns during a precious metals rally.

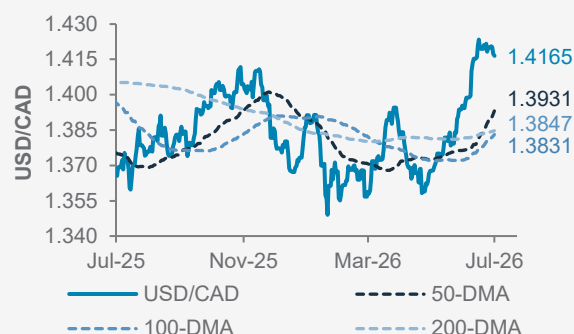
Rationale: Silver's correction from its January 2026 peak has created a more attractive tactical entry point. Our bullish view hinges on a tight physical market. Above-ground inventories remain constrained, while a large share of silver is tied up in industrial forms and is not readily deliverable. This leaves silver sensitive to a liquidity squeeze and disproportionate price spikes if investment demand accelerates.

While silver's heavier industrial exposure makes it more cyclical, this cyclical offers upside if the macro backdrop remains resilient. Assuming the gold-silver ratio remains broadly stable around its historical average of 67.7, our 12-month gold forecast of USD 5,100/oz would imply silver moving towards USD 75/oz. However, it is important to understand silver's significantly higher volatility when right-sizing any position, and to prefer gold as a portfolio diversifier.

— Anthony Naab, CFA, Investment Strategist

We see USD/CAD testing support at 1.4080

USD/CAD and technicals



Source: Bloomberg, Standard Chartered

Silver has scope to rise further if the gold-silver ratio normalises

Gold-Silver ratio and its historical average



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What are the implications of the Fed's new taskforces?

Our view: *The Fed's taskforces are not expected to report until year-end. Thus, short of an exogenous shock, we believe the Fed will remain patient and keep rates on hold through 2026. The taskforces' conclusions and the developing macro outlook will likely lead Fed policy to lean to the dovish side next year.*

Rationale: The Fed has announced the leadership of five task forces that will review key areas of monetary policy under Chair Warsh. The aim is to reassess how the central bank delivers on its dual mandate of price stability and maximum employment.

The five task forces will focus on: a) **Communications strategy:** how often and how clearly the Fed communicates with the markets; b) **Balance sheet:** whether the ample-reserves regime remains appropriate; c) **Data:** ways to improve data collection and real-time accuracy; d) **Productivity and jobs:** the impact of AI on labour markets and output; and e) **Inflation frameworks:** the possible greater use of trimmed-mean inflation measures.

The taskforce leaders come from a diverse set of former central bankers, academics, business executives and investment industry veterans. They will be supported by Fed staff and may call on outside experts, suggesting a wide-ranging and potentially influential review. The groups are expected to start work after the summer and report towards year-end. Their conclusions could reshape how the Fed gathers and interprets data, communicates with markets and calibrates policy. While it is too early to know the final recommendations, three likely policy directions stand out:

Less forward guidance/communications: Warsh appears likely to reduce reliance on explicit forward guidance and allow markets to respond more directly to incoming data. That could create more uncertainty and volatility, but investors should adapt if the Fed is clear about the data it prioritises and its reaction function.

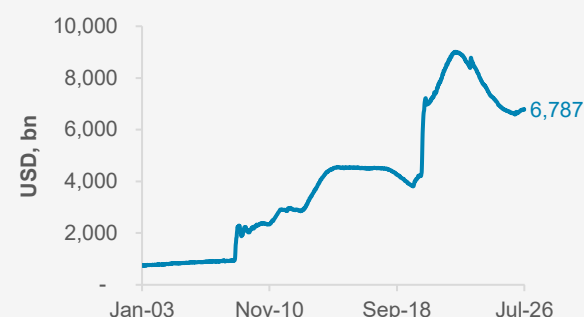
Shrinking the Fed's balance sheet: The Fed's USD 6.7trn balance sheet remains a legacy of the post-Global Financial Crisis liquidity support. Warsh has signalled that it is too large for the current environment and should move towards a more normal level. Any reduction is likely to be gradual, potentially over 2027-28, to avoid unnecessary market disruption. This would reduce liquidity at the margin, but could also help re-establish the Fed funds rate as the primary monetary policy tool and create room for future rate cuts.

Productivity gains to allow for less restrictive monetary policy: The inclusion of AI expertise signals the Fed's interest in whether technology can lift productivity and affect labour market dynamics. The historical parallel is the late-1990s internet-led productivity boost, which allowed the Fed to keep policy less restrictive even as growth accelerated. Near term, AI capex may be inflationary, but over the long term, stronger productivity could prove disinflationary.

— **Jonathan Liang**, Chief Investment Officer, Fixed Income and FX

The Fed's balance sheet has shrunk post COVID; any further reduction is likely to be gradual

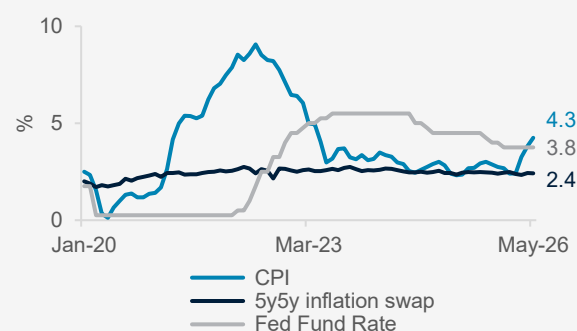
The Fed's balance sheet



Source: Bloomberg, Standard Chartered

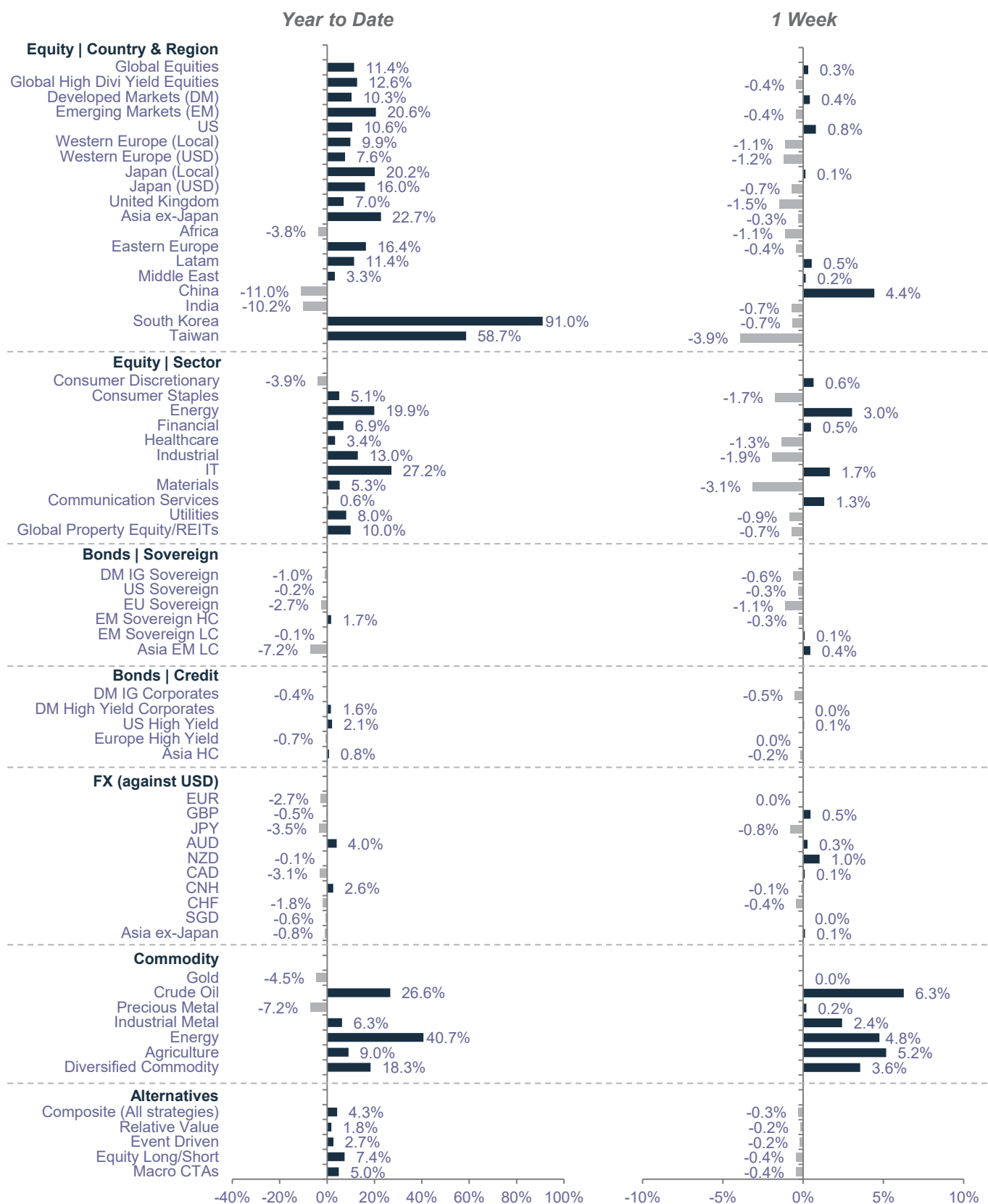
US inflation is likely to decline in the coming quarters following the decline in oil prices since May, enabling the Fed to hold rates this year

US consumer inflation, 5-year-5-year inflation swap, Fed Funds Rate



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 9 July 2026; 1-week period: 2 July 2026 to 9 July 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Healthcare ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	Europe ex-UK Industrials ▲
Other EM ◆	Japan Financials ▲
	China Communication ▲
Bonds ▼	China Technology ▲
Credit	Govt
Asia USD ◆	Govt EM Local ◆
Corp DM HY ◆	Govt DM IG ▼
Govt EM USD ▲	
Corp DM IG ◆	Alternatives ◆
	Gold ▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,668

Technical indicators for key markets as of 9 Jul close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,544	7,328	7,668	20.3	1.2
STOXX 50	6,284	6,027	6,486	15.3	3.1
FTSE 100	10,472	10,151	10,770	12.7	3.5
TOPIX	4,020	3,812	4,183	17.0	2.3
Shanghai Comp	4,037	3,925	4,162	13.6	3.0
Hang Seng	24,030	22,683	25,213	10.3	3.6
Nifty 50	23,963	23,180	24,638	18.4	1.8
MSCI Asia ex-Japan	1,110	1,062	1,181	11.2	2.2
MSCI EM	1,676	1,608	1,776	10.8	2.6
Crude oil (WTI)	72.1	61.5	88.1	na	na
Gold	4,124	3,917	4,356	na	na
UST 10Y Yield	4.55	4.41	4.64	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market Event	Period	Expected	Prior
MON	USD NFIB Small Business Optimism	Jun	95.5	95.3
	USD Real Avg Weekly Earnings y/y	Jun	—	-0.4%
	USD CPI y/y	Jun	3.9%	4.2%
	USD Core CPI y/y	Jun	2.9%	2.9%
	CNH Exports y/y	Jun	18.5%	19.4%
TUE	CNH Imports y/y	Jun	24.5%	27.4%
	CNH GDP y/y	2Q	4.5%	5.0%
	CNH Retail Sales y/y	Jun	-0.1%	-0.6%
	USD PPI Final Demand y/y	Jun	—	6.5%
	USD PPI Ex Food & Energy y/y	Jun	—	4.9%
WED	CAD Bank of Canada Rate Decision	15-Jul	2.3%	2.3%
	USD Fed Releases Beige Book	16-Jul	—	—
	USD Philadelphia Fed Business Outlook	Jul	15.0	10.3
	USD Retail Sales Control Group	Jun	0.4%	0.7%
	USD Import Price Index y/y	Jun	—	6.7%
THU	USD Housing Starts	Jun	1320k	1177k
	USD Building Permits	Jun P	1408k	1410k
	USD U. of Mich. Sentiment	Jul P	51.3	49.5

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 9 Jul close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	1.93
Global Equities	●	↓	1.38
Gold	●	→	1.39
Equity			
MSCI US	●	→	1.34
MSCI Europe	●	→	1.67
MSCI AC AXJ	●	↓	1.47
Fixed Income			
DM Corp Bond	●	→	1.84
DM High Yield	●	↓	1.47
EM USD	●	↓	1.61
EM Local	●	↑	1.94
Asia USD	●	→	1.84
Currencies			
EUR/USD	●	↓	1.39

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

Access our views 24/7 on key platforms

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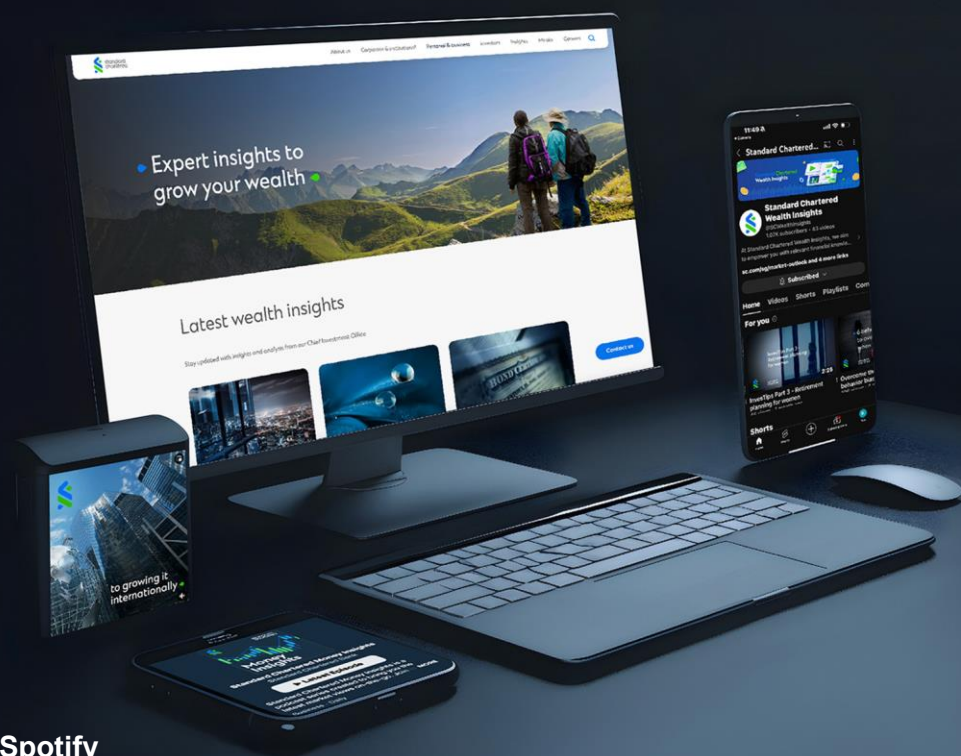
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